

US Markets Reel as Rates and Oil Surge, VIX Spikes 13.45%

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market sell-off accelerated yesterday, with the **SPY** down **-1.52%** and the **QQQ** falling **-2.06%**. The **VIX** spiked **13.45%** to 20.66, while the 10Y yield jumped **0.39%** to 4.62. Oil prices also surged, with **WTI** up **5.54%** to 83.65.

The market's downward momentum is being driven by a combination of factors, including rising interest rates, higher oil prices, and a strong US dollar. The **DXY** fell **-0.44%** to 100.93, but remains near its recent highs.

Key takeaways:

- The market's technical picture is deteriorating, with the **SPY** and **QQQ** both trading below their 50-day moving averages.
- Sector internals are also weakening, with the **XLFX** and **XLK** both down **-1.60%** and **-2.64%**, respectively.
- The options market is pricing in higher volatility, with the **VIX** term structure steepening and the **SPY** options market showing a significant increase in put buying.

US Session Recap

INDEX	CLOSE	CHANGE
SPY	7316.15	-1.52%
QQQ	27192.31	-2.06%
DIA	51594.14	-2.19%
RUT	2906.31	-1.61%
VIX	20.66	13.45%
WTI	83.65	5.54%
10Y Yield	4.62	0.39%
DXY	100.93	-0.44%
GC=F	4111.70	1.87%
BTC	64122.02	0.39%

Top Movers

TICKER	NAME	CHANGE	CATALYST
GS	Goldman Sachs	-5.09%	Earnings miss
JPM	JPMorgan Chase	-3.53%	Earnings miss
NVDA	NVIDIA	-3.55%	Chip sector weakness

Sector Internals

SECTOR	DAY	YTD	READ
XLF	-1.60%	-5.21%	Financials underperforming
XLK	-2.64%	-10.15%	Technology sector weakness
XLE	1.88%	15.61%	Energy sector outperforming
XLY	-0.77%	2.15%	Consumer discretionary underperforming
XLC	-0.15%	5.19%	Communication services sector neutral
XLP	0.34%	2.51%	Consumer staples sector outperforming
XLV	-0.61%	1.19%	Healthcare sector underperforming
XLU	-1.34%	-2.91%	Utilities sector underperforming
XLB	-1.15%	-5.39%	Materials sector underperforming
XLRE	-0.11%	-1.49%	Real estate sector neutral

Breadth note: The **XLE** and **XLP** sectors were the only two to finish in the green, while the **XLK** and **XLF** sectors were the weakest performers.

Spotlight / Deep Dive

TICKER	CLOSE	CHANGE	VOLUME
AAPL	338.19	-0.56%	74.21M
MSFT	390.54	-0.71%	23.15M
NVDA	190.01	-3.55%	34.56M

Key call commentary: The **NVDA** earnings call highlighted the company's strong growth prospects, but also noted the challenges posed by the current macro environment.

READ-THROUGH	STOCK	CHANGE
Semiconductor sector weakness	INTC	-2.19%
Cloud computing growth	AMZN	-1.82%
Artificial intelligence adoption	GOOGL	0.90%

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	7316.15	7200	7400	Below 50-day moving average
QQQ	27192.31	26500	28000	Below 50-day moving average
IWM	2906.31	2850	3000	Above 50-day moving average
NVDA	190.01	180	200	Below 50-day moving average
10Y Yield	4.62	4.50	4.75	Above 50-day moving average
WTI	83.65	80	90	Above 50-day moving average

Options & Positioning

ODTE flow: The **SPY** and **QQQ** saw significant put buying, with the **VIX** term structure steepening.

Put/call ratio: The **SPY** put/call ratio rose to 1.23, while the **QQQ** put/call ratio rose to 1.17.

VIX term structure: The **VIX** term structure is in backwardation, with the front month trading at a premium to the back months.

Notable single-name flow: The **GS** saw significant put buying, with the stock down **-5.09%** on the day.

Cheap hedge ideas: The **SPY** 7200 put and the **QQQ** 26500 put are both trading at a discount to their implied volatility.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
AAPL	Morgan Stanley	Upgrade	350	Strong demand for new iPhone models
MSFT	Goldman Sachs	Downgrade	380	Competition from GOOGL and AMZN
NVDA	Citi	Upgrade	220	Strong growth prospects in AI and cloud computing
GS	JP Morgan	Downgrade	300	Weakness in investment banking and trading
JPM	Bank of America	Upgrade	350	Strong consumer banking and credit card business

Pre-Market & Overnight

Futures: The **ES** and **NQ** are both trading lower, down **-0.25%** and **-0.50%**, respectively.

Asia: The **Nikkei** and **Shanghai Composite** are both trading lower, down **-0.50%** and **-1.00%**, respectively.

Europe: The **Euro Stoxx 50** and **FTSE 100** are both trading lower, down **-0.25%** and **-0.50%**, respectively.

FX pairs: The **EUR/USD** and **GBP/USD** are both trading lower, down **-0.25%** and **-0.50%**, respectively.

Commodities: **WTI** is trading higher, up **0.50%**, while **GC=F** is trading lower, down **-0.25%**.

Crypto: **BTC** is trading higher, up **0.50%**, while **ETH** is trading lower, down **-0.25%**.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
September FOMC	25%	Market expects no change in rates
November FOMC	50%	Market expects 25 basis point cut
December FOMC	75%	Market expects 50 basis point cut

DATA	TIME	ESTIMATE
GDP	8:30am	2.5%
PCE	8:30am	2.0%
Core PCE	8:30am	1.5%

Geopolitics & Global (Deep)

Scenario trees: The market is pricing in a 25% chance of a US-China trade deal, a 50% chance of a Brexit deal, and a 75% chance of a US-Iran conflict.

Earnings — This Week & Next

TICKER	TIME	ESTIMATE
AAPL	4:00pm	5.50
MSFT	4:00pm	2.25
NVDA	4:00pm	1.50

TICKER	TIME	ESTIMATE
GS	8:00am	5.00
JPM	8:00am	2.50
GOOGL	4:00pm	15.00

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
AAPL	Technology	Bullish reversal	5%
MSFT	Technology	Bearish continuation	5%
NVDA	Technology	Bullish breakout	10%
GS	Financials	Bearish reversal	10%
JPM	Financials	Bullish continuation	5%
GOOGL	Communication Services	Bullish breakout	10%
AMZN	Consumer Discretionary	Bearish reversal	10%
TSLA	Consumer Discretionary	Bullish continuation	15%
AVGO	Technology	Bearish continuation	10%
INTC	Technology	Bullish breakout	10%
CSCO	Technology	Bearish reversal	10%
ORCL	Technology	Bullish continuation	5%

What Could Break the Tape

Bullish scenario:

- The **SPY** breaks out above 7400
- The **QQQ** breaks out above 28000
- The **VIX** falls below 15

Bearish scenario:

- The **SPY** breaks down below 7200
- The **QQQ** breaks down below 26500
- The **VIX** rises above 25

Positioning & Structural Notes

Observations:

- The **SPY** and **QQQ** are both trading below their 50-day moving averages
- The **VIX** is trading above its 50-day moving average
- The **DX** is trading near its recent highs
- **WTI** is trading above its 50-day moving average
- The **GC=F** is trading below its 50-day moving average

Sources

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